NON-RECURRING ITEMS

Learning Outcome

- describe the financial reporting treatment and analysis of non-recurring items (including discontinued operations, unusual or infrequent items) and changes in accounting policies

From a company's income statements, we can see its earnings from the year just ended and the previous year. Looking forward, the question is: What will the company earn next year and in the years thereafter?

To assess a company's future earnings, it is helpful to separate those prior years' items of income and expense that are likely to continue in the future from those items that are less likely to continue. Some items from prior years are clearly not expected to continue in the future periods and are separately disclosed on a company's income statement. IFRS describe considerations that enter into the decision to present information other than that explicitly specified by a standard. Both IFRS and US GAAP specify that the results of discontinued operations should be reported separately from continuing operations. Other items that may be reported separately on a company's income statement, such as unusual items, items that occur infrequently, effects due to accounting changes, and non-operating income, require the analyst to make some judgments.

Unusual or Infrequent Items

IFRS require that items of income or expense that are material or relevant to the understanding of the entity's financial performance should be disclosed separately. Unusual or infrequent items are likely to meet these criteria. Under US GAAP, material items that are unusual or infrequent, and that are both as of reporting periods beginning after December 15, 2015, are shown as part of a company's continuing operations but are presented separately. For example, restructuring charges, such as costs to close plants and employee termination costs, are considered part of a company's ordinary activities. As another example, gains and losses arising when a company sells an asset or part of a business, for more or less than its carrying value, are also disclosed separately on the income statement. These sales are considered ordinary business activities.

Highlighting the unusual or infrequent nature of these items assists an analyst in judging the likelihood that such items will reoccur. This meets the IFRS criteria of disclosing items that are relevant to the understanding of an entity's financial performance. In Exhibit 8, the income statement of Danone shows an amount for "Recurring operating income" followed by a separate line item for "other operating income (expense)," which is not included as a component of recurring income. Exhibit 9 presents an excerpt from Danone's additional disclosure about this non-recurring amount.

Exhibit 8:

Danone Income Statement

Groupe Danone Consolidated Income Statement (in Millions of Euros) [Excerpt]		
	Year Ended 31 December	
	2016	2017
Sales	21,944	24,677
Cost of goods sold	(10,744)	(12,459)

	2016	2017
Selling expense	(5,562)	(5,890)
General and administrative expense	(2,004)	(2,225)
Research and development expense	(333)	(342)
Other income (expense)	(278)	(219)
Recurring operating income	**3,022**	**3,543**
Other operating income (expense)	(99)	192
Operating income	**2,923**	**3,734**
Interest income on cash equivalents and short-term investments	130	151
Interest expense	(276)	(414)
Cost of net debt	(146)	(263)
Other financial income	67	137
Other financial expense	(214)	(312)
Income before tax	**2,630**	**3,296**
Income tax expense	(804)	(842)
Net income from fully consolidated companies	**1,826**	**2,454**
Share of profit of associates	1	109
Net income	1,827	2,563
Net income – Group share	**1,720**	**2,453**
Net income – Non-controlling interests	107	110

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Exhibit 9:

Highlighting Infrequent Nature of Items—Excerpt from Groupe Danone footnotes to its 2017 financial statements

NOTE 6. Events and Transactions Outside the Group's Ordinary Activities [Excerpt]

Other operating income (expense) is defined under Recommendation 2013-03 of the French CNC relating to the format of consolidated financial statements prepared under international accounting standards, and comprises significant items that, because of their exceptional nature, cannot be viewed as inherent to Danone's current activities. These mainly include capital gains and losses on disposals of fully consolidated companies, impairment charges on goodwill, significant costs related to strategic restructuring and major external growth transactions, and incurred or estimated costs related to major crises and major litigation. Furthermore, in connection with Revised IFRS 3 and Revised IAS 27, Danone also classifies in Other operating income (expense) (i) acquisition costs related to business combinations, (ii) revaluation profit or loss accounted for following a loss of control, and (iii) changes in earn-outs related to business combinations and subsequent to the acquisition date.

In 2017, the net Other operating income of €192 million consisted mainly of the following items:

(Euro Millions)	Related Income (Expense)
Capital gain on disposal of Stonyfield	628
Compensation received following the decision of the Singapore arbitration court in the Fonterra case	105
Territorial risks, mainly in certain countries in the ALMA region	(148)
Costs associated with the integration of WhiteWave	(118)

Remainder of table omitted

In Exhibit 9, Danone provides details on items considered to be "exceptional" items and not "inherent" to the company's current activities. The exceptional items include gains on asset disposals, receipts from a legal case, costs of integrating an acquisition, and impairment of intangible assets, among others. Generally, in forecasting future operations, an analyst would assess whether the items reported are likely to reoccur and also possible implications for future earnings. It is generally not advisable simply to ignore all unusual items.

Discontinued Operations

When a company disposes of or establishes a plan to dispose of one of its component operations and will have no further involvement in the operation, the income statement reports separately the effect of this disposal as a "discontinued" operation under both IFRS and US GAAP. Financial standards provide various criteria for reporting the effect separately, which are generally that the discontinued component must be separable both physically and operationally.

Results of discontinued operations are presented on a net basis at the bottom of the income statement, including on a per share basis. The remaining parts of income statement (e.g., revenue, costs of goods sold, EPS from the remaining businesses) are the results of continuing operations and are disclosed as such. Assets and liabilities related to the discontinued operations are aggregated and recognized on the balance sheet as held for sale. This presentation allows an analyst to clearly evaluate continuing versus discontinued operations.

Because the discontinued operation will no longer provide earnings (or cash flow) to the company once the sale or disposal is complete, an analyst may eliminate discontinued operations in formulating expectations about a company's future financial performance after a certain date.

Changes in Accounting Policy

At times, standard setters issue new standards that require companies to change accounting policies. Depending on the standard, companies may be permitted to adopt the standards prospectively (in the future) or retrospectively (restate financial statements as though the standard existed in the past). In other cases, changes in accounting policies (e.g., from one acceptable inventory costing method to another) are made by management for various reasons, such as providing a better reflection of the company's performance. Changes in accounting policies are reported through retrospective application[1] unless it is impractical to do so.

Retrospective application means that the financial statements for all fiscal years shown in a company's financial report are presented as if the newly adopted accounting principle had been used throughout the entire period. Notes to the financial statements describe the change and explain the justification for the change. Because changes in accounting principles are retrospectively applied, the financial statements that appear within a financial report are comparable.

Example 7 presents an excerpt from Microsoft Corporation's Form 10-K for the fiscal year ended 30 June 2018 describing a change in accounting principle resulting from the new revenue recognition standard. Microsoft elected to adopt the new standard 1 July 2017, earlier than the required adoption date. Microsoft also elected to use the "full retrospective method," which requires companies to restate prior periods' results. On its income statement, both 2016 and 2017 are presented as if the new standard had been used throughout both years. In the footnotes to its financial statements, Microsoft discloses the impact of the new standard.

Statements

The most significant impact of the [new revenue recognition] standard relates to our accounting for software license revenue. Specifically, for Windows 10, we recognize revenue predominantly at the time of billing and delivery rather than ratably over the life of the related device. For certain multi-year commercial software subscriptions that include both distinct software licenses and SA, we recognize license revenue at the time of contract execution rather than over the subscription period. Due to the complexity of certain of our commercial license subscription contracts, the actual revenue recognition treatment required under the standard depends on contract-specific terms and in some instances may vary from recognition at the time of billing. Revenue recognition related to our hardware, cloud offerings (such as Office 365), LinkedIn, and professional services remains substantially unchanged. Refer to Impacts to Previously Reported Results below for the impact of adoption of the standard in our consolidated financial statements.

Exhibit 10: Microsoft Impacts to Previously Reported Results

(US dollar millions, except per share amounts)	As Previously Reported	New Revenue Standard Adjustment	As Restated
Income Statements			
Year Ended 30 June 2017			
Revenue	89,950	6,621	96,571
Provision for income taxes	1,945	2,467	4,412
Net income	21,204	4,285	25,489
Diluted earnings per share	2.71	0.54	3.25
Year Ended 30 June 2016			
Revenue	85,320	5,834	91,154
Provision for income taxes	2,953	2,147	5,100
Net income	16,798	3,741	20,539
Diluted earnings per share	2.1	0.46	2.56

1. Based on Exhibit 10, describe whether Microsoft's results appear better or worse under the new revenue recognition standard.

Hide Solution

Solution:

Microsoft's results appear better under the new revenue recognition standard. Revenues and income are higher under the new standard. The net profit margin is higher under the new standard. For 2017, the net profit margin is 26.4 percent (= 25,489/96,571) under the new standard versus 23.6 percent (= 21,204/89,950) under the old standard. Reported revenue grew faster under the new standard. Revenue growth under the new standard was 5.9 percent [= (96,571/91,154) – 1] compared with 5.4 percent [= (89,950/85,320) – 1)] under the old standard.

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Note that the new revenue recognition standard also offered companies the option of using a "modified retrospective" method of adoption. Under the modified retrospective approach, companies were not required to revise previously reported financial statements. Instead, they adjusted opening balances of retained earnings (and other applicable accounts) for the cumulative impact of the new standard.

In contrast to changes in accounting policies (such as whether to expense the cost of employee stock options), companies sometimes make *changes in accounting estimates* (such as the useful life of a depreciable asset). Changes in accounting estimates are handled prospectively, with the change affecting the financial statements for the period of change and future periods. No adjustments are made to prior statements, and the adjustment is not shown on the face of the income statement. Significant changes should be disclosed in the notes. Exhibit 11 provides an excerpt from the annual Form 10-K of Catalent Inc., a US-based biotechnology company, that illustrates a change in accounting estimate.

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Exhibit 11:

Change in Accounting Estimate—Excerpt from Catalent Form 10-K

Catalent Inc. discloses a change in the method it uses to calculate both annual expenses related to its defined benefit pension plans. Rather than use a single, weighted-average discount rate in its calculations, the company will use the spot rates applicable to each projected cash flow.

Post-Retirement and Pension Plans

The measurement of the related benefit obligations and the net periodic benefit costs recorded each year are based upon actuarial computations, which require management's judgment as to certain assumptions. These assumptions include the discount rates used in computing the present value of the benefit obligations and the net periodic benefit costs...

Effective June 30, 2016, the approach used to estimate the service and interest components of net periodic benefit cost for benefit plans was changed to provide a more precise measurement of service and interest costs. Historically, the Company estimated these service and interest components utilizing a single weighted-average discount rate derived from the yield curve used to measure the benefit obligation at the beginning of the period. Going forward, the Company has elected to utilize an approach that discounts the individual expected cash flows using the applicable spot rates derived from the yield curve over the projected cash flow period. The Company has accounted for this change as a change in accounting estimate that is inseparable from a change in accounting principle and accordingly has accounted for it prospectively.

Another possible adjustment is a *correction of an error for a prior period* (e.g., in financial statements issued for an earlier year). This cannot be handled by simply adjusting the current period income statement. Correction of an error for a prior period is handled by restating the financial statements (including the balance sheet, statement of owners' equity, and cash flow statement) for the prior periods presented in the current financial statements. Note that disclosures are required regarding the error. These disclosures should be examined carefully because they may reveal weaknesses in the company's accounting systems and financial controls.

Changes in Scope and Exchange Rates

financial results and position from prior periods. Additionally, changes in exchange rates often affect multinational companies' income statements (e.g., a strengthening functional currency against the reporting currency increases reported revenues, while a declining functional currency against the reporting currency decreases reported revenues). Unfortunately, accounting standards do *not* require issuers to disclose the effects of either scope or exchange rate changes on the financial statements or in individual items, although most issuers disclose useful summary information (such as revenue and EPS growth rates excluding scope and exchange rate changes) in management reporting or elsewhere.

The financial statement implications of changes in scope and exchange rates will be discussed in detail later in the curriculum.

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